Oceania Healthcare (NZX and ASX: OCA)

Audit of the 28 October 2026 valuation model, and a deeper look. Version 2, after the red-team review

10 November 2026. Price NZ$0.66 (NZX close, 6 November). Analysis only, not financial advice: I am not a financial adviser, and sizing and any decision to trade are yours.

What changed in this version

A red-team review of version 1 found three errors of mine, two model repairs I had only half made, and a gap between my stated return and my call. I checked each point against the filings and the workbook and agreed with most of them. This version fixes the following. [RT]

- The January 2026 opening was Franklin's first 31 villas, not The Helier, which was already 14% occupied in March 2024. I have removed the argument that FY26 new sales leaned on a Helier opening. [WS]
- The Government's 17 June care funding release exists and I missed it. The care section now uses it.
- The seven divested sites did not go "about 12% under book". The $7.2m loss includes costs, so the discount on the properties is somewhere between about 7% and 12%.
- Refurbishment spending is now tied to resales by product in the workbook, first sales are counted once, and a $4.6m Holidays Act payment is in the forecast.
- My own preferred assumptions now sit in a named reviewer's case beside the model case, all five of them, so the two can be compared.
- The call is restated as a hold until 27 November and then a fresh decision, because my own outcome tree does not pay the required return over 20 months.

Before anything else

I opened the workbook: 21 tabs and 1,345 formulas. I can see the formulas as well as the stored values. I recalculated it in LibreOffice with no errors, and every stored value matched. I rebuilt the cash value outside the workbook, in Python, from the typed inputs alone: NZ$0.847470 against the model's NZ$0.847470. I have done the same for the v4 workbook, and both of its cases reproduce to six decimal places (NZ$0.854349 and NZ$0.774260).

Your brief still had its blanks in it (date, price, holding, decision dates). I have taken today as 10 November 2026, the price as NZ$0.66, the test dates as 30 June 2027 and 30 June 2028, and written the view for someone who already holds the shares. Three things were not out when I ran this: Oceania's half-year result (19 November), Ryman's half-year result (late November) and the final election count (27 November).

Some of what you asked for I could not do with the tools I had, and I would rather say so than pad it. Oceania's website needs a browser to show village listings, so I have no village-by-village count of units for sale or asking prices. I did not read council consent files, land titles, the Overseas Investment Office register, select committee submissions or Retirement Commission reports. The NZX announcement list I could see ran only to 25 May, so my check for substantial holder notices after that rests on press and data sites. Each gap is listed at the end.

1. The view

Hold until the 19 November result and the 27 November election count, then decide again. I would not add at NZ$0.66. On my outcome tree the expected price is about NZ$0.68 at 30 June 2027 and NZ$0.74 at 30 June 2028. That is about 7% a year, and nothing for dividends, against a required return of 10.8%. Put the other way, the price that would earn the required return on those odds is about NZ$0.63. So this is not a long-term hold at today's price unless one of the two events improves the odds. The reason to wait and not sell now is that both events land within 17 days, they bear directly on the two biggest unknowns (cash generation and the repayment rules), and the gap between NZ$0.66 and NZ$0.63 is small next to what they could move.

One line on the model. The model's NZ$0.85 survives as the model case (NZ$0.85): the fall in bond yields added 11 cents and the repairs took 10 off. On my own assumptions the cash value is NZ$0.77, about 8 cents lower. The central read of NZ$0.72 to NZ$0.85 is about right; I would put it at NZ$0.70 to NZ$0.85. Neither cash figure is a price target:

about four-fifths of each is terminal value and building after FY31.

2. Job 1: corrections, bridge and lenses

Changes made to the workbook

ID	Tab and cell	Model has	Should be	Type	Old figure flattered or punished	Effect per share, in order	Source
CL-01	DCF Model B4	4.98%	4.68%	REFRESH	Punished (stale)	+0.104	NZ 10-year yield, 9 Nov 2026 [TE]
CL-02	DCF Model B45	211 days	224 days	REFRESH	Punished (stale)	+0.003	Price date 10 Nov 2026
CL-03	ORA Roll-Forward B76	4.7	5.1	INCORRECT	Flattered	-0.012	Slide 14: divested sites earned $5.1m in FY26 [IP]
CL-04	ORA Roll-Forward B72	4.0%	5.6% (v3 proxy, replaced by V4-01)	METHOD	Flattered	-0.043	Slide 33 [IP]
CL-05	ORA Roll-Forward H39:K39	22% flat	23.0%, 23.3%, 23.5%, 23.6%	METHOD	Punished	+0.056	Slide 16 [SUP]; slide 30 [IP]
CL-06, CL-07	Executive Summary B5; Comparables B5, B6	0.65; 1.775, 6.34	0.66; 1.84, 6.20	REFRESH	Neither	nil; peer lens +0.005	NZX closes 6 Nov [BD]
V4-01	ORA Roll-Forward rows 113 to 118, row 59	One growth rate on the whole line	Village refurbishment $61k a resale, care suite $9k, other at 4%	METHOD	Flattered	-0.087	Slide 33 [IP]; red team [RT]
V4-02	ORA Roll-Forward rows 51, 52, 87, 89	205 shown, 226.1 in the cash	205 is every first sale	METHOD	Flattered	-0.009	Red team [RT]
V4-03	ORA Roll-Forward row 120; DCF Model row 22	Nothing	$4.635m paid in FY27	LEFT OUT	Flattered	-0.007	Note 2.4 [AR]; red team [RT]

Bridge to the model case. NZ$0.847 as delivered; 0.952 after the bond yield; 0.955 after the roll-forward; 0.943 after the divested sites; 0.900 and then 0.957 after my first refurbishment and care suite fixes (the v3 workbook); 0.870 after refurbishment by product; 0.861 after the first-sale count; and **NZ$0.854** after the Holidays Act payment. Each step is the workbook recalculated with one more change, and the end ties to Executive Summary F8.

Reviewer's case: my own call on five inputs	Model case	Reviewer's case	Effect per share	Why
RC-01 Share of the FY27 $10m savings that lasts	65%	32.5%	-0.101	Dated to FY27 and FY28 and mostly refurbishment and maintenance controls, so part is deferral.
RC-02 Care earnings uplift a year from FY28	$2.0m	$1.5m	-0.049	The 2026/27 base funding rise is 2.66%, under the 3% the engine applies to fees. The 2027/28 proposals are upside.
RC-03 Terminal turnover of independent units	10.0%	10.5%	+0.071	FY26 was 9.6% on occupied units in a young portfolio.
RC-04 Bonds at fair value	face	$13.3m lower	+0.020	Note 4.3. Fades to nil by maturity.
RC-05 Holidays Act ongoing cost	nil	$0.8m a year	-0.020	My inference from Note 1.3.
Cash value	0.854	0.774	-0.080	Switch in ORA Roll-Forward B124.

The red team's headline was that my preferences give NZ$0.75. That figure applied my two cautious preferences and left out the favourable ones I had also stated. All five together give NZ$0.77. At the 28 October bond yield the reviewer's case would be NZ$0.68, which shows how much of any figure here is the bond market. [RT]

On V4-01, the red team was right that my first fix was a growth rate and not a link, and that a blended cost per resale hid the fact that a village unit costs about $61,000 to refurbish and a care suite about $9,000. Village resales are the ones that grow, so the blend understated the bill. The workbook now charges each product its own cost, and the turnover sensitivity carries the cost with the revenue. On V4-02, the model showed 205 new sales for FY27 but collected cash on 226, because care suites sold as non-buying residents leave were added on top. Like for like, that was 226 against 201 in FY26. Row 51 now means every first sale. [IP, RT]

Value by lens

Lens	v2 (28 Oct)	v4 (10 Nov)	Comment
Cash value, model case	0.85	0.85	WACC 9.18%. Terminal value and tail are 80% of enterprise value.
Cash value, reviewer's case	n/a	0.77	Range on one input at a time: about 0.44 to 1.19.
Cash value, no development after FY31	0.13	0.09 model case; 0.01 reviewer's	Keeps today's cost structure, so it is not a run-off value. It shows how much rests on building.
Peer price to NTA	0.72	0.72	Ryman 0.46x, Summerset 0.43x on 6 November closes.
Probability-weighted	0.74	0.74	The same peer figure is its 50% middle branch.
Takeover lens	0.75	0.75	95% of it is the probability-weighted figure.
NTA per share	1.62	1.62	31 March valuation. 30 September valuation due 19 November.
Reviewer's central read	0.72 to 0.85	0.70 to 0.85	Judgement.

The peer, probability-weighted and takeover values are one calculation shown three ways: each is NTA times a peer multiple. Their closeness is not three confirmations, and I should have said so in version 1. There are really two lenses here, what the sector trades at and what the cash is worth, plus NTA as the asset reference. [RT]

Typed inputs checked against primary sources

Confirmed. Net debt $506.7m (drawn $523.3m, cash $16.6m), gearing 30.1%, shares 724,231,030, NTA $1,174.0m, total assets $3,076.1m, equity $1,178.0m, net adjusted value $1.53. Underlying EBITDA $97.4m, proforma $97.7m, normalised $92.7m, underlying NPAT $63.7m. Every cash flow line in the engine: receipts $198.3m, payments $250.4m, resident receipts $336.2m, refunds $108.6m, new-sale cash $149.7m, the net resale table, development spending $62.1m, maintenance $23.3m, development interest $11.6m, and each line of the free cash flow from operations reconciliation. Sales of 108 and 93 new and 160 and 242 resale. Unsold stock $227m ($157.5m and $69.3m), the 54%, and the unit counts by type. Portfolio and landbank counts. Every valuer input in Note 3.1 and Note 3.2, including the 14.8% median and the 7.0 to 9.2 year range with its 7.7 median. Resident loan balances, which tie to the dollar. OCA030 at 5.55% and OCA010 at 2.30% maturing 19 October 2027. The Forsyth Barr holding as at its 11 February notice, and the 30 July vote. [IP, SUP, AR, TS, ASM]

The three items the model said it had not re-checked. Tax: current tax is nil and available tax losses are $446.0m, up from $355.3m. Property split: investment property $2,023.0m (completed $1,886.9m, under development $136.1m) and property, plant and equipment $884.1m, of which the care suite valuation is $346.7m. The loss on sale: Note 2.4 shows a $7.2m loss on disposal against $51.1m of proceeds for seven sites. The presentation describes that line as including associated costs, and the cash flow statement shows a $3.6m loss on the property alone. So the sites went for somewhere between about 7% and 12% under book. That is an adverse result, but not the clean 12% mark I gave in version 1. [AR, IP, RT]

Wrong, out of date or left out. Divested-site EBITDA (CL-03). A $4.635m Holidays Act provision with no payment in the forecast (V4-03); the note says a repayment plan is still being developed. The note reference for resident loans is 3.3, not 3.4 (label only). The Development Pipeline tab's site table no longer matches slide 19. The OCR note expected a rise; the Reserve Bank held at 2.75% by four votes to three. The statement that FY26 turnover implies 12 years counts empty units: on occupied units it is about 10.4 years. [IP, AR, RBNZ]

Not verifiable in this pass. FY26 average new-sale prices by type. Both peers' share counts. The June 2026 grant of 13.0m options at $0.75. The $68m of accrued management fee in the roll-forward. The sector unit count and the Government's sector repayment figure, which I have only from press. Ryman's NTA of 400.5 cents I did not check myself; the red team reports it verified in Ryman's accounts.

The method, point by point

Terminal value and tail at about 80% of value. This is the model's real weakness and no input fixes it. Charging no haircut on the 150-unit build margin and a 50% haircut on the tail is worth about the same as 100 units a year for ever, fully valued. Oceania delivered 71 units in FY26 and plans 81 and about 80. Without building after FY31, and keeping today's costs, the model case is worth 9 cents and my case about 1 cent. [IP]

The discount rate with no tax shield. The method is right while no tax is paid, and losses grew $90m in a year when underlying profit was $64m, so that will not change soon. The red team wants a tax-loss schedule before assuming it for ever. I agree it is unproven for the terminal value but rate it a low priority. The larger issue is the spot bond yield: 0.30 points in a fortnight moved the answer 10 cents.

Tenure of 10 years against 12 and 7.7. Covered in section 3A. Ten is defensible and stays in the model case; my case uses 10.5% turnover, a stay of about nine years on occupied units. The 7.7 years is the valuer's and comes with the valuer's 14.8% discount rate. Taking the short tenure and the model's 9% discount rate together counts the good half of each.

Head office at 25% variable. Worth about 4 cents either way. No evidence to move it.

Existing stock by type at 95%. The rebuild is sound and the unit split ties to the supplementary slide. FY26 incentives were about $2m and cash was 91.5% of contract value, so 95% is fair. The half-year result will show it directly.

Should cash value or NTA lead? Neither on its own. NTA is the valuer's price for the property and the contracts. It leaves out $32m a year of head office cost, which is worth $0.39 a share capitalised at the valuer's own rate and $0.74 at the model's. NTA less that overhead is $0.88 to $1.23, which is the fair bridge between the two lenses and is where a trade buyer who can remove part of the overhead would start. One cross-check gives me some comfort in the cash engine: the model's stream of resale gains and fees on today's independent units is worth about $770m at its 9.2% rate, and the valuer's figure for the same thing, after taking out unsold stock, is about $695m at 14.8% with faster turnover. The two get to a similar number by different roads.

Still simplified. Care suite turnover (H39:K39) nets off the premium room revenue lost when a suite is sold, when that should be its own line. New units are priced at FY26's blended price across independent units and care suites, which may understate receipts on a villa-heavy pipeline. Both need unit-level data Oceania has not published, and I have left them for the half-year result.

The open items, in order of what is at stake

Item and range on the reviewer's case	Best evidence found	Where it now stands
Unit turnover 8.3% to 13%: $0.44 to $1.14	160 resales on about 1,662 occupied independent units is 9.6%; departures alone about 8.8%. Summerset resold 415 units in a half on 6,657 completed (12.5% a year, including serviced apartments).	Model case 10%; mine 10.5%. Each extra resale now carries its refurbishment cost.
Tail haircut 100% to nil: $0.36 to $1.14	Deliveries 71, 81, about 80. 481 units consented, 39 under way, 750 planned. Summerset cut its build by 150 a year; Ryman is selling land.	Unchanged. Read it as 100 units a year for ever.
Discount rate, one point: $0.47 to $1.19	10-year yield 4.68% on 9 November, 5.12% on 24 September.	Risk-free rate refreshed. Beta and premium unchanged.
FY27 savings 0% to 100%: $0.67 to $0.98	The deck dates the $10m to FY27 and FY28. The CFO put most of it in refurbishment and maintenance controls.	Model case 65% lasting; mine 32.5%.
Care uplift nil to $3m: $0.63 to $0.92	Base funding up 2.66% for 2026/27 inside a 4% uplift. An advisory group has proposed more for 2027/28; not law.	Model case $2m; mine $1.5m.
Resale margin and build margin: about $0.25 to $0.30 each	Contract arithmetic gives 40.5% if unit prices rise about 2.3% a year over a stay. Reported build margin 29.9%; Summerset 20%.	Unchanged.
Three-month rule on existing contracts: 14 cents on the model's $100m	Refunds $108.6m a year. Oceania buys back within 12 months and holds about $38m of bought-back units.	I would carry $40m to $60m. It is my estimate, not a company figure, and it is not in either case.
FY27 new sales of 205	Settlements at Ryman and Summerset each fell 28% in the September quarter, but Ryman's resale contracts rose 11% and Summerset's new-sale contracts rose 20%. FY26's second half had Franklin's 31 villas; FY27's has 81 units.	Less at risk than version 1 said. Now 205 means all first sales. The 19 November result settles it.
Forsyth Barr 12.24%	88,646,081 shares, notice dated 11 February 2026, in the annual report.	Confirmed as at February. Unconfirmed since.

Sources for the table: IP, SUP, AR, CALL, SUM, RYM, SUM3, TE, NZSA, BEE, MAG.

What to look for on 19 November

These are my tests, not hard limits: seasonality and the timing of collections can move a half.

- Free cash flow from operations before and after working-capital releases. The model case has $1.2m for the full year, including $15m from collecting deferred settlements; without that it is -$13.8m. FY26's -$15.0m also had $9.4m of timing items, so the like-for-like move is from -$24.4m to -$13.8m: better, but not yet cash the business makes on its own.
- Deferred settlement receivables down from $48.5m toward $30m.

- New sales and resales by product, contracts signed as well as settlements, incentives and deferrals. All first sales of about 70 or more in the half and unsold new stock at or below 200 units would be on track.
- Resale margin back toward 19% or better from 17.5%, and refurbishment spending by type.
- Any Holidays Act payment and whether the company strips it out of its cash measure.
- NTA at or above $1.60, the valuer's discount rate median still 14.8%, no cut to its growth range, and the care suite valuation not lower again.
- Net debt at or under $500m and a plan for the October 2027 bond.
- Any number from the company on what the repayment rules cost it.

3. Job 2: beyond the model

A. How long residents stay and what a resale earns

The model's 8.3% for FY26 divides 160 resales by all 1,924 independent units. But 173 of those were new and unsold and 89 were empty awaiting resale, so about 1,662 were lived in. On that base turnover was 9.6%. The CFO said resales ran slightly ahead of departures because older bought-back stock cleared, and resale stock fell by 13 units, so departures were about 147, or 8.8%. That is a stay of 10.4 to 11.3 years in a portfolio that is young because so much of it was built in the last six years. The model's terminal 10% of all units is 10.6% of occupied units, or 9.4 years. Peer evidence points the same way: Summerset's blended rate is about 12.5% including serviced apartments, where stays are short (its apartment resales in the first half of 2026 averaged 3.9 years of tenure, against 7.4 a year earlier, which shows how noisy the figure is). I would use about 9 to 9.5 years for independent units (10% to 10.5% of all units) and about 3.6 years for care suites. [SUP, CALL, SUM]

On margin, the contract pays the operator one minus 0.7 divided by price growth over the stay. At 3% a year that is 47% on an independent unit held 9.4 years and 37% on a care suite held 3.6 years, about 43% blended on the FY32 mix. At 2% it is 39%. The model's 40.5% therefore assumes about 2.3% a year, under the valuer's 3.0% to 3.5%. FY26's 36.7% is what flat prices since 2021 produce. I would keep 40.5%. I did not source life tables, entry ages by unit type, or Retirement Commission and Retirement Villages Association data, so this section rests on company filings.

B. Unsold stock and pricing

What is on the record: at 31 March there were 258 new units for sale (132 independent units available and 41 under application; 78 care suites available and 7 under application), plus roughly 96 care suites occupied by residents who have not bought, and 167 resale units (89 and 78). New stock fell from $342m to $227m in the year. The Helier was 77% sold or under application at 14 July with more than $40m still to release, and Franklin had 20 units left in May. Stock did sell, but it was helped along: incentives doubled to about $2m, settlements were deferred to secure sales (receivables of $48.5m), and long-dated resale stock was priced to clear, which is why the resale margin fell to 17.5%. So the answer to your question is that stock is selling roughly as the model assumes but with price help, and 95% of valuer value is a fair haircut. For scale, Summerset holds 802 new units and Ryman 347. I could not count listings or asking prices by village, or compare them with suburb house prices. [SUP, IP, NZSA, CALL, SUM, RYM]

C. Development after FY31

Site	Units still to come (slide 19)	What is known about status and timing
Franklin, Pukekohe	28 villas, then 111 villas, 43 apartments, 81 care	28 due second half FY27. Option over 3.7ha next door, staged payments to March 2030.
Elmwood, Manurewa	31 conversions, then 229 apartments	30 due second half FY27. Apartments in early design, after 2028.
Bream Bay, Ruakaka	23 villas, then 107 villas, 60 care	23 due second half FY27. Later stages in early design; not planned for the next couple of years.
Lady Allum, Milford	126 apartments	After 2028.
The Bayview, Tauranga	78 apartments, 40 care	After 2028.
Waterford, Hobsonville	63 apartments, 60 care	Not dated.
Gracelands, Hastings	61 villas	Scheduled for 2028.
Duart, Hawke's Bay	62 apartments	Not dated.
The Helier stage 2	16 apartments	Not consented. No construction commitment.
Stoke and Eversley	16 villas, 35 care	Early design.

Across the 1,270 units, 481 are consented, 39 are under construction and 750 are still at the planning stage. Capital commitments are $39.5m. The Chair told the meeting the timing and sequence of projects "is not yet determined". At the model's delivery path the landbank lasts until about FY36, after which Oceania has to buy land, which the model allows for with 4 points off the margin. Peers are slowing: Summerset has cut its build rate by 150 units a year and Ryman has contracted $147m of land sales [RYMT]. That makes Oceania's plan to nearly double its rate the outlier, and it is why I read the base case as 100 units a year. I did not check consents, titles, council records or building contracts. [IP, AR, CHAIR, CALL, SUM]

D. Care

Care earned $28.8m in FY26 ($20.4m the year before), or $14,838 an occupied bed, with occupancy at 95.5% on a rolling year. Much of the jump came from selling weak sites and from cost cuts, which do not repeat. On funding, version 1 said I had found nothing reliable; that was wrong. The Government announced a 4% uplift for 2026/27, about $79m across the sector, of which the base price rise is 2.66% and the rest is targeted at service delivery and faster admissions. For this model that cuts against an uplift in the first year: the engine grows all fees at 3%, and on $180m of daily care fees a 2.66% rise is about $0.6m a year short of that. The upside is the Ministerial Advisory Group's August report, which proposes larger increases from 2027/28. I confirmed the report and its questions-and-answers paper exist but could not confirm the 7.1% above-inflation figure the red team cites, and it is a proposal to a government that has not yet been formed. Ryman reports about $20,200 a bed and targets $25,000 to $30,000 [RYMT], so Oceania's aim of more than $20,000 is reachable. On that evidence I carry $1.5m a year in my case against the model's $2m, with the advisory group's proposals as a separate upside. [IP, CALL, BEE, MAG, RT]

E. Repayment reform

The Government's revised package caps repayment at nine months, pays 10% of net proceeds within four weeks, exempts villages under 50 units, allows extensions, and applies only to contracts signed a year after the law passes. Labour promised three months, with a bill at select committee within 100 days, and press reports say it would cover existing residents. The Government's own modelling puts the sector's extra capital under three months at $3.2bn to $4.1bn. New Zealand First attacked the nine-month package in October because families of residents who have died cannot get the early 10%. On the preliminary count National, ACT and New Zealand First hold 67 or 68 of 131 seats, with about 14% of votes still to count and the final result on 27 November. [STUFF, NZH, B2B, NZH2, AJ, WIKI]

For Oceania, nine months costs about 1 cent, as the model says, and nothing before about 2029. Three months on existing contracts is where I differ from the model. Oceania refunds $108.6m a year and told shareholders in July it is "already aligned" with the proposals, with buy-backs inside 12 months; it holds about $38m of units it has already bought back. If the average unit takes five months from vacating to settlement, a three-month rule needs about $18m more funding; with a slow tail, $30m to $55m. I would carry $40m to $60m, or 6 to 8 cents, not 14. That is a scenario estimate built from averages. It is not an Oceania disclosure, and it does not show how old the unpaid balances are. The 27 November count will not itself settle the coalition agreement or the final law. [IP, NZSA, RT]

F. Debt and funding

Facility	Limit	Drawn at 31 March	Rate and maturity
Bank, general	$185m	$50.0m	Floating, 4.0% to 5.2% across bank debt. Facilities renewed through FY30.
Bank, development	$315m	$248.3m	As above. Development debt was $134m by July.
OCA010 bond	$125m	$125m	2.30%, matures 19 October 2027
OCA020 bond	$100m	$100m	3.30%, matures 13 September 2028
OCA030 bond (issued 1 July)	$125m	n/a	5.55% (1.85% over swap), matures 1 July 2032. Proceeds repaid bank debt.

Total facilities were $725m with about $200m of headroom, before and after the new bond, which implies the bank lines were cut to about $375m (my inference from the maturity chart). Covenants are interest cover of at least 2.0 times (3.7 actual) and loan to value of no more than 50% (31.8% actual). Property values would have to fall by more than a third to breach the second. Only $50m was hedged at March, on swaps that expire within a year, so bank debt floats. [IP, AR, NZSA, TS]

Pricing October 2027. At the margin Oceania paid in June (1.85%) over a swap rate of 3.7% to 4.0%, the $125m refinances at 5.55% to 5.85% against 2.30% now. That is $4.1m to $4.4m more interest a year. The 2028 bond adds

another $2.3m to $2.6m. Together, $6.3m to $7.0m a year by FY30. That does not touch the cash value, which is before interest, but it lands on free cash flow from operations, which the model case has at $1.2m for FY27. Access is not the risk: the bond could be repaid from bank headroom. I put a forced equity raise at 4% by June 2027 and 7% by June 2028.

G. Ownership and control

Substantial holder notices since January: Forsyth Barr Investment Management, 88,646,081 shares (12.240%), dated 11 February; ANZ New Zealand Investments, 48,102,207 (6.642%), dated 27 February. I found none later, with the limits already noted. The March register adds Lennon Holdings at 4.98%, just under the disclosure line, ACC at 4.81%, Generate at 4.39% and Tomlinson Group at 3.85%. Greg Tomlinson joined the board in the February refresh and is its only large holder (27.9m shares); the Chair holds 2.1m. No director dealt in the shares in FY26. Staff hold 18.4m options at $0.65 to $0.82; the chief executive's are 2.58m at $0.65 vesting June 2028 and 0.78m at $0.76. At $0.66 most of that is at or out of the money. [AR]

The review resolution came from one individual shareholder, Thomas Scrivener, who pointed to the shares trading at 46 cents for each dollar of NTA and listed a sale or takeover first among the options. It drew 59.6m votes, 13.15%, against 393.4m. Forsyth Barr's managed holding is 88.6m shares, so that holding did not vote for the proposal as one block; some of its clients may have. About 264m shares did not vote, and a press account has 11.4% against the Chair's re-election. The Chair said the board "continues to actively consider various strategic options". A failed review resolution is not a vote against every future bid, and not finding a notice is not proof that nobody is buying. What I can say is that no large holder is publicly pushing. [NOM, ASM, CHAIR, MAYNE, RT]

Who could buy: Stonepeak through Arvida (it paid 0.83 times NTA for Arvida in 2024, on the model's verified source), EQT through Metlifecare, an infrastructure or pension fund, or a care operator for the standard care sites. The model's arithmetic is right that a financial buyer on a 20% hurdle cannot pay a premium. A trade buyer can, because it can remove part of the $32m head office cost; half of it is worth about $0.37 a share at the model's rate. That supports $0.95 to $1.10 for the whole, or 0.59 to 0.68 times NTA. Any overseas buyer needs Overseas Investment Office consent, which both EQT and Stonepeak obtained for their purchases, so I treat it as a delay of some months and not a barrier. A combination with Arvida or Metlifecare would overlap in Auckland and would want Commerce Commission clearance; I know of no blocked precedent but did not research it. Both points are my inference, not record. On Metlifecare, EQT hired banks in February for a listing of up to NZ$2.5bn and I found nothing since. With listed peers at 0.44 times NTA a listing near NTA is not available, so a trade sale is more likely, and its price would be the first private mark since Arvida: above 0.7 times helps Oceania, below 0.55 hurts, and silence means the gap between buyers and sellers is still wide. [MET]

H. What the market may be missing

Question	On the record	My inference
Is the care book marked too high?	Seven sites sold for $51.1m with a $7.2m loss that includes costs (Note 2.4, slide 29). Care suite valuation fell from $367.6m to $346.7m.	The weakest assets went 7% to 12% under book. If the remaining $855m of care property is 5% high, that is 6 cents of NTA.
Where did FY26's NTA growth come from?	Care property revaluation of $83.4m through reserves. The valuer's figure for Oceania's interest in completed villages fell from $919.1m to $852.8m.	The $77m rise in NTA is almost exactly the $75m after-tax revaluation of care buildings; profit was $0.1m.
How repeatable was FY26's second half?	52 new sales in the first half, 201 for the year. Franklin's first 31 villas completed in January 2026 and 40 dementia suites opened at Meadowbank.	FY27 has a like event: 81 units in the second half. So the pattern can repeat if they are pre-sold; village-level settlements would show it.
Will the dividend be worth having?	Policy is 40% to 60% of free cash flow from operations. Old bonds carry 2.30% and 3.30%; the new one 5.55%.	At a 50% payout the model's FY27 figure funds under a tenth of a cent a share. Refinancing adds $6.3m to $7.0m of interest by FY30.
Who decides a bid?	Forsyth Barr's clients, ANZ, Lennon, ACC, Generate and Tomlinson hold roughly 40% between them. The review was voted down 87 to 13.	A bid would most likely need the board's support.
Is the cash value hostage to the bond market?	10-year yield 5.12% on 24 September, 4.68% on 9 November.	That range alone moves my case from $0.64 to $0.77.

Sources: AR, IP, NZSA, TS, ASM, TE, WS. I did not get to company and land registers, council hearings, Health New Zealand contract notices, statutory supervisor reports, archived web pages or job advertisements.

I. Anything else

Better than the model says: the fall in bond yields; a beta that looks cautious; care suite resales; debt worth less than face; peer contracts rising. Worse: refurbishment by product; first sales counted twice in the cash; the Holidays Act payment; divestments below book; NTA growth that came from care revaluations; house prices down for seven months running to October (Cotality, -0.4% in the month); and Summerset's 16% fall in five weeks. [COT, BD]

4. The case for and against

Argument	Does the other side answer it?
FOR: 0.41 times an independently valued NTA.	Partly. NTA leaves out $32m a year of head office cost and the weakest sites sold under book. Net of overhead it is $0.88 to $1.23, still above the price.
FOR: management delivered in FY26: $13.2m of cost out, net debt down $121m, gearing 30.1%.	Not yet. Without receivable collections the model has FY27 cash from operations at about -$14m. 19 November tests it.
FOR: the resale engine grows with age and with every unit sold, from $68m to about $117m a year by FY32.	Partly. It needs unit prices to rise about 2.3% a year, and each resale brings a refurbishment bill.
FOR: a refreshed board, a large holder on it, and a 59% discount invite a bid.	Partly. Holders voted 87% against a review and financial buyers cannot pay a premium. A trade buyer can.
FOR: the repayment risk is shrinking and nine months costs 1 cent.	Not settled until the coalition agreement and the bill.
AGAINST: the sector sits near 0.44 times and Oceania is unlikely to leave it alone.	This is my judgement, not a finding. The evidence for it: Summerset pays a dividend and makes cash and still trades at 0.43 times. Better cash flow could lift Oceania's relative rating; its care mix and size could also justify a discount.
AGAINST: almost all of the cash value needs building to continue after FY31.	Partly. The land is owned, but 59% of it is unconsented and peers are slowing.
AGAINST: valuations at 30 September face seven months of falling house prices.	Thin answer. Oceania's average new price rose 9%, but with incentives and deferred settlements.
AGAINST: the dividend, when it comes, will be very small.	No answer.
AGAINST: care funding rose 2.66% at the base this year, under cost growth.	Partly. Proposals for 2027/28 are larger, but they are proposals.

5. Outcomes at each date

Outcome	What has to happen	30 June 2027: value, chance	30 June 2028: value, chance
Takeover or break-up	A trade or infrastructure buyer agrees a scheme with the board, probably after the repayment rules are law.	$1.00, 4%	$1.05, 12%
Discount narrows as the plan works	Positive free cash flow from operations, a first dividend, stock under $150m, and the sector back to about 0.55 times as policy and housing settle.	$0.85, 15%	$0.90, 25%
No change	The plan roughly works but peers stay near 0.44 times.	$0.69, 55%	$0.72, 35%
Plan fails	Stock builds, valuations fall about 8%, the dividend slips again, 0.35 times.	$0.54, 22%	$0.52, 21%
Forced equity raise	Falling valuations and a three-month rule on existing contracts together.	$0.42, 4%	$0.42, 7%
Standalone expected value (no takeover)	The four standalone outcomes, re-weighted to 100%.	$0.67	$0.70
Combined expected value	Takeover chance times its value, plus the rest.	$0.68	$0.74

Working, June 2028: 0.12 x 1.05 + 0.25 x 0.90 + 0.35 x 0.72 + 0.21 x 0.52 + 0.07 x 0.42 = 0.742. Standalone: (0.225 + 0.252 + 0.109 + 0.029) / 0.88 = 0.700. June 2027: 0.04 x 1.00 + 0.15 x 0.85 + 0.55 x 0.69 + 0.22 x 0.54 + 0.04 x 0.42 = 0.683; standalone 0.643 / 0.96 = 0.669. The values are evidence-based (multiples on NTA); the chances are my judgement.

What the June 2028 tree means for holding	Result
Expected price, and annual return from $0.66 over 598 days	$0.742; 7.4% a year
Expected price with no takeover, and annual return	$0.700; 3.6% a year
Required return (the model's cost of equity)	10.8% a year

What the June 2028 tree means for holding	Result
June 2028 price needed to earn it from $0.66	$0.78
Today's price that earns it on these odds (expected price discounted at 10.8%)	$0.63
Dividends to add	Close to nil: under a tenth of a cent for FY27 on the model's figures

The lens values in section 2 are values today. The tree values are prices at a future date. The takeover figure is a bid price. They answer different questions and should not be averaged. The tree is the one I use for the call, and on it the shares are about 5% above the price that pays the required return. [RT]

6. Prices, dates and warning signals

Prices. Add at NZ$0.58 or below, where the expected return to June 2028 is about 16% a year. Between NZ$0.58 and NZ$0.63 the shares pay their way on my odds. Between NZ$0.63 and NZ$0.88 I would hold through the two events and then re-run the tree. Trim at NZ$0.90 or above unless the sector has re-rated with it. Accept a board-recommended bid at NZ$1.00 or more (0.62 times NTA, above both cash cases and my plan-works value); between NZ$0.90 and NZ$1.00 it depends on whether anyone else is at the table.

Dates that would change my mind. 19 November, the half-year result against the list above. Late November, Ryman's half-year, for resales, stock and valuer inputs. 27 November, the final count and then the coalition agreement's wording on repayment. 9 December, the Reserve Bank's statement. February 2027, Summerset's full year. May 2027, Oceania's full year and the dividend decision. 19 October 2027, the first bond.

Signals on the Pre-Mortem tab that have fired. Divestment below carrying value has fired in part: a loss was booked, though its size against the property values is not clean. Peers' new settlements down 28% has fired for the peers, with contracts pointing the other way; Oceania's own number is pending. The sector stuck near 0.4 times is persisting. House prices feeding into NTA is an early warning, pending the 30 September valuation. Not fired: rates above 3%, a three-month rule, Forsyth Barr selling, and a low Metlifecare price.

Signals I would add. The valuer's figure for Oceania's interest in completed villages falling again. Deferred settlement receivables not coming down. Incentives per sale rising. Refurbishment spending per resale falling below about $25,000, which would mean savings are deferral. Care suite valuation falling a second time. A peer raising equity.

7. What I could not verify

- Units for sale and asking prices by village, archived listings, and suburb house prices around each village.
- Resource consents, land titles, council records and construction contracts for each pipeline site.
- Substantial holder notices after 25 May 2026 from the NZX feed itself; the 9 November closing price.
- The retirement villages bill, the 30 September Cabinet paper, select committee submissions and Retirement Commission reports (press only).
- The advisory group's 7.1% figure for 2027/28, pay settlement costs, and Oceania's own contract rates by care level.
- When the Holidays Act provision will be paid, and whether part of it recurs.
- Metlifecare's position after February 2026.
- Both peers' share counts; FY26 average new-sale prices by unit type; the June 2026 option grant.
- Life tables, entry ages by unit type, and sector tenure data.
- Overseas Investment Office and Commerce Commission treatment of a bid (my inference only).
- A tax-loss schedule, a ledger of resident refunds by age, and village-level settlements, none of which Oceania publishes.

8. Sources

Primary sources are company filings, exchange announcements, bond documents and the Reserve Bank. Items marked pointer are press, transcripts or data sites used to find or date a fact; treat them as leads.

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